ECON 301 — Microeconomics

Elasticity measures the responsiveness of quantity demanded to a change in price.

The marginal rate of substitution declines as we move along an indifference curve.

Consumer surplus is the area below the demand curve and above the market price.

A price ceiling below equilibrium creates shortages in the market.

The law of diminishing returns applies when extra units of a variable input are added.

A competitive firm produces at the point where marginal cost equals marginal revenue.

Tax incidence depends on the relative elasticities of supply and demand.

Monopoly output is lower and price is higher than under perfect competition.

A production function shows the maximum output for each input combination.

Demand curves shift when income, tastes, or the prices of related goods change.

Total cost is the sum of fixed and variable costs at each level of output.

Opportunity cost is the value of the next best alternative forgone.